

Value Change Standard (VCS)

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Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanisms Architecture

Parent Standard: Value Change Standard (VCS)

Operational Layer: Value Change Governance Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Type: Parent Standard

Governed Space: Value Change

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Compatibility: OOF® Methodology OS™ · GOA™ · ORA™ · VALIDOS® · INTEGROS® · ADIT® · AGA™ · OBIDENTITY®

AI-Readable: Yes

Authority: OOF®

Protection: MIP® — Methodology Intellectual Property Protection

Canonical Language: UCL — Universal Canonical Language

Canonical Definition

Value Change Standard (VCS) is the Parent Standard within VFM® — Value Flow Mechanisms Architecture that governs the identification, characterization, magnitude determination, causation linkage, and recording of material change affecting existing governed value.

VCS establishes whether value has materially changed relative to a governed reference state, determines what kind of change occurred, establishes the magnitude and direction of that change, links the change to relevant causal events, conditions, mechanisms, or relationships where such linkage is supportable, and preserves the resulting Value Change as a governed lifecycle record.

The Standard governs:

what happened to value

rather than assuming governance over every external mechanism capable of causing the change.

A market event, technological development, payment, operational improvement, physical deterioration, regulatory event, innovation, resource depletion, infrastructure failure, environmental condition, contractual event, or other mechanism may alter value without that mechanism itself becoming governed by VFM®.

The foundational distinction is:

Cause of Change ≠ Value Change

VCS governs the change to value.

The originating mechanism may remain governed by another applicable architecture, methodology, legal framework, operational system, market system, accounting system, or domain.

Core Question

When has existing value materially changed, and what change has occurred to it?

Architectural Position

VCS occupies the sixth governed space within the VFM® value lifecycle.

It follows:

Value State Standard (VSS)

which establishes:

the current governed state of value.

VCS then asks:

Has that value materially changed relative to its governed reference state, and if so, what happened to it?

The architectural sequence is:

Value Context

→ Value Origin

→ Value Emergence

→ Value Recognition

→ Value State

→ Value Change

VCS therefore represents the first explicit VFM® layer in which an already established Value State is examined for material difference across time, condition, event, relationship, capability, or other relevant reference basis.

Governance Flow Position

The VFM® governance flow entering VCS is:

Governed Value State

→ Reference Value State

→ Observed Value Condition

→ Potential Difference

→ Materiality Assessment

→ Value Change Identification

→ Value Change Type

→ Value Change Magnitude

→ Value Change Causation Link

→ Value Change Record

→ Governed Value Change

The resulting Governed Value Change may subsequently inform later VFM® mechanisms governing how value moves, transforms, degrades, recovers, becomes monetized, becomes de-monetized, or otherwise progresses through its lifecycle.

Operational Space

VCS governs the methodological space between:

an established governed Value State

and

a determined material change to that value.

Its governed space includes:

reference-state identification; observed value condition; value difference detection; materiality; direction of change; type of change; magnitude of change; temporal change; event-linked change; condition-linked change; beneficiary-specific change; context-specific change; capability-related change; utilization-related change; economic change; operational change; physical value change; digital value change; strategic value change; reversible change; irreversible change; temporary change; persistent change; gradual change; sudden change; cumulative change; compound change; causal linkage; multi-causal change; uncertainty affecting change determination; change recording; change lineage.

Value Change Requires a Reference

Value cannot meaningfully be said to have changed unless the change is evaluated against a defined reference.

The reference may be:

previous Value State; previous Value State Record; defined baseline; reference date; reference event; reference condition; previous capability; previous utility; previous beneficiary relationship; previous operational state; another explicitly governed comparison point.

Therefore:

Observed Difference without Reference $\neq$ Governed Value Change

The Value State Record established through VSS provides a natural reference basis for VCS.

Value Difference $\neq$ Material Value Change

Not every measurable variation should become a governed Value Change.

Value may fluctuate within:

normal operational ranges; expected market variation; measurement uncertainty; seasonal conditions; ordinary utilization patterns; insignificant technical variation; defined tolerance bands.

VCS therefore distinguishes:

Value Variation

from

Material Value Change.

A change becomes governable under VCS when it crosses the applicable materiality basis established for the governed value context.

Materiality Principle

Materiality determines whether a difference is significant enough to enter formal Value Change governance.

Materiality may be defined through:

absolute threshold; relative threshold; percentage change; capability threshold; operational threshold; beneficiary impact; strategic significance; economic consequence; risk consequence; persistence; reversibility; regulatory significance; organizational criteria; combination of factors.

VCS does not impose one universal materiality threshold across all value.

The applicable threshold must correspond to the governed value context.

Direction of Value Change

A Value Change may move value in different directions.

A minimum distinction includes:

Positive Value Change

where governed value materially increases.

Negative Value Change

where governed value materially decreases.

Neutral Structural Change

where the structure, composition, or conditions of value materially change without an immediate net increase or decrease being determinable.

Indeterminate Direction

where material change is established but available information does not support a legitimate directional determination.

Direction must not be forced where the evidence does not support it.

Value Change Type

VCS requires material change to be characterized rather than recorded merely as:

“value changed.”

Change types may include:

increase; decrease; degradation; enhancement; impairment; recovery; activation; deactivation; conversion-related change; utilization change; capability change; scarcity change; dependency change; accessibility change; relevance change; beneficiary change; strategic change; structural change; contextual change.

Organizations may define additional domain-specific Value Change Types while preserving the canonical distinction between the change itself and the mechanism causing it.

Magnitude of Value Change

VCS governs the determination of how materially value changed.

Magnitude may be expressed through:

absolute amount; relative amount; percentage; range; ordinal class; qualitative magnitude; capability delta; utility delta; operational delta; strategic significance; multi-dimensional value delta.

A minimum qualitative model may include:

Minor

Moderate

Substantial

Critical

where the organization defines the applicable criteria.

VCS does not require every form of value to be converted into money.

This is fundamental.

Value Change $\neq$ Price Change

A change in value may exist even where no market price exists.

Monetary and Non-Monetary Change

VFM® must be capable of governing value before, during, and after monetary representation.

VCS therefore supports change in:

monetary value

and

non-monetary value.

Examples of non-monetary change may include:

increased productive capability; reduced mission utility; improved strategic relevance; loss of interoperability; increased computational usefulness; deterioration of infrastructure capacity; increased information utility; reduced operational availability.

A monetary consequence may later be derived from such changes through another mechanism.

But:

Value Change does not require monetary expression to exist.

Temporal Character of Change

VCS recognizes that change may occur differently across time.

A Value Change may be:

Instantaneous

Rapid

Gradual

Cumulative

Periodic

Temporary

Persistent

Recurring

Progressive

The temporal character matters because two changes of equal apparent magnitude may have very different lifecycle consequences.

Temporary vs Persistent Change

A temporary reduction in value must remain distinguishable from persistent degradation.

For example:

Industrial Machine unavailable for scheduled maintenance

may temporarily reduce operational value.

This is different from:

Industrial Machine permanently incapable of required production.

Both may affect value.

Their persistence differs.

VCS therefore requires material persistence characteristics to remain visible where relevant.

Reversible vs Irreversible Change

A Value Change may be:

Reversible

where the previous or comparable Value State can reasonably be restored.

Conditionally Reversible

where restoration depends upon defined conditions.

Irreversible

where the previous Value State cannot reasonably be restored within the governed context.

Indeterminate

where reversibility cannot yet be established.

Reversibility may become important for later value recovery and lifecycle mechanisms.

Cumulative Value Change

Some important Value Changes do not arise from one dramatic event.

They emerge through accumulation.

Examples include:

progressive wear; repeated small efficiency losses; gradual technological obsolescence; increasing maintenance burden; declining network participation; repeated data degradation; incremental capability improvement; accumulated knowledge; progressive infrastructure deterioration.

VCS therefore permits:

Multiple Individually Minor Changes

→ Cumulative Material Value Change

A governance system that evaluates only isolated events may miss the material lifecycle change created by their accumulation.

Compound Value Change

Multiple forms of Value Change may occur simultaneously.

For example, a manufacturing asset may experience:

Physical Degradation

Reduced Operational Capability

Increased Maintenance Cost

Reduced Strategic Relevance

Lower Secondary-Market Utility.

These are related but not identical dimensions of change.

VCS should preserve materially distinct change dimensions rather than collapsing them prematurely into one number.

Context-Specific Change

A value-bearing object may change in one context without changing equally in another.

Example:

A data center becomes unsuitable for:

high-performance AI training

because of power limitations.

Its value may materially decline in that context.

The same facility may remain valuable for:

conventional enterprise computing.

Therefore:

Value Change in Context A $\neq$ Universal Value Change

VCS preserves the Value Context established upstream.

Beneficiary-Specific Change

Value may change differently for different beneficiaries.

A technology becoming obsolete for one organization may become economically useful to another organization operating under different requirements.

Therefore:

Value Change must remain beneficiary-aware where beneficiary materially affects value.

This prevents one beneficiary's loss of value from becoming a universal conclusion about the underlying object.

Value Change and ZVA™

A Value Change may move governed value toward:

ZVA™ — Zero Value Asset™

or away from it.

Example:

Active Value

→ Negative Value Change

→ Degraded Value

→ Further Negative Value Change

→ ZVA™

But VCS itself does not determine the new Value State.

It determines the material change that occurred.

The resulting state is governed through the applicable Value State process.

This preserves the distinction:

Value Change ≠ Value State

Value Recovery

Value may increase after previous degradation or zero-value condition.

For example:

ZVA™

may later become capable of producing value because of:

technological innovation; new beneficiary; new use case; repair; regulatory change; infrastructure development; new market access; new operational capability.

VCS may govern the material positive change.

The resulting Value State remains separately determined.

This prevents zero value from becoming incorrectly permanent.

Causation Link Principle

VCS distinguishes:

Value Change Determination

from

Causal Explanation.

A material Value Change may be established even where its complete cause remains uncertain.

Where a causal relationship is sufficiently supported, VCS may link the change to:

event; activity; condition; decision; transaction; deterioration; innovation; external market development; technological change; operational intervention; regulatory development; environmental event; relationship change; multiple contributing causes.

But the Standard must not manufacture causal certainty.

Correlation ≠ Causation

Temporal sequence or statistical association alone must not automatically be treated as causal proof.

Therefore:

Event Before Change ≠ Event Caused Change

and

Correlation with Change ≠ Proven Causation

Where causation remains uncertain, VCS may preserve:

Potential Causal Link

Supported Causal Link

Multi-Causal Relationship

or

Causation Indeterminate.

Multi-Causal Value Change

Many Value Changes arise from multiple mechanisms.

Example:

A commercial building may lose value because of:

energy inefficiency

higher financing costs

tenant demand change

regulatory requirements

physical deterioration.

VCS should not force such a change into one artificial cause.

Where multiple causal relationships materially contribute, they may remain separately represented.

External Event Boundary

External mechanisms may cause value to change without becoming governed spaces of VFM®.

For example:

Interest-rate decision

→ may affect →

Financing Conditions

→ may affect →

Property Value

VFM® does not need to govern monetary policy to govern the resulting Value Change.

Likewise:

Earthquake

→ Infrastructure Damage

→ Value Change

does not make earthquake governance part of VFM®.

This boundary allows VFM® to remain broadly applicable without attempting to absorb every domain capable of affecting value.

Transaction Boundary

A payment or transaction may cause Value Change.

But:

Transaction $\neq$ Value Change

A transaction system governs the transfer, settlement, execution, or recording of the transaction.

VCS governs what material change occurred to the governed value as a result, where applicable.

This distinction becomes important in banking, blockchain, digital assets, taxation, and accounting.

Market Price Boundary

Market price may be an input into Value Change governance.

But:

Market Price Change $\neq$ Automatically Governed Value Change

A temporary market-price movement may not materially change:

productive capability; utility; strategic value; operational relevance; beneficiary-specific value.

Conversely, a major Value Change may occur before any market price reflects it.

VFM® therefore prevents market price from becoming the universal definition of value.

Accounting Boundary

Accounting systems may recognize:

impairment; depreciation; appreciation; revaluation; gain; loss.

VCS does not replace accounting rules.

It may provide a governed Value Change layer that exists independently from accounting recognition.

Therefore:

Accounting Change $\neq$ VFM® Value Change

although the two may legitimately interact.

Tax Boundary

VCS does not determine:

taxable gain; taxable loss; tax base; deductible impairment; depreciation allowance; realization event; tax liability.

A future tax architecture may use governed Value Change information as an input.

The boundary remains:

VFM® determines what materially happened to value.

Tax governance determines whether and how that change produces a tax consequence.

This separation is essential if VFM® is later used as part of a value-flow-based taxation architecture.

Banking and Financial-System Relevance

Traditional financial systems often observe value through:

transactions; market prices; accounting records; collateral valuations; cash flows.

VCS adds another governable layer:

Value Change itself.

This may allow institutions to identify material value deterioration or improvement before it is fully expressed through a transaction, accounting entry, default, or market repricing.

Potential applications include:

collateral monitoring; credit-risk monitoring; asset lifecycle governance; infrastructure finance; investment monitoring; recovery analysis; portfolio change detection; early-warning systems.

Blockchain and Digital Asset Relevance

Blockchain systems are highly effective at recording:

transactions

and

state changes defined by protocol.

But protocol state change does not necessarily equal Value Change.

VCS can provide a separate governance layer capable of recording:

what happened to governed value as a consequence of or alongside a blockchain event.

This allows distinction between:

Token Transfer

Ownership Change

Protocol State Change

Market Price Change

and

Governed Value Change.

AI and Automated Value Monitoring

VCS is designed to support machine-readable implementation.

Automated systems may monitor:

Reference Value State

→ New Operational Information

→ Potential Value Difference

→ Materiality Test

→ Value Change Candidate

→ Governed Value Change Determination

AI may assist with:

anomaly detection; change detection; causal candidate identification; magnitude estimation; pattern recognition; cumulative change monitoring.

Automation must not silently convert:

detected correlation

into

established causation.

Value Change Record

Every material governed Value Change should be capable of producing a reconstructable record.

A Value Change Record may include:

Change ID

Governed Value ID

Reference State

Reference Point

Observed Condition

Change Type

Direction

Magnitude

Materiality Basis

Temporal Character

Persistence

Reversibility

Beneficiary

Context

Causal Link

Causation Status

Uncertainty

Limitations

Record Status

This creates a machine-readable lifecycle object representing what happened to value.

Change Lineage

VCS supports reconstruction of Value Change across time.

Example:

Active Value

- Change 001: Moderate Degradation
- Change 002: Further Capability Loss
- Change 003: Critical Negative Change
- ZVA™
- Change 004: Recovery Event
- Recoverable Value
- Change 005: Capability Restoration
- Active Value

The Value State and Value Change records together create a governed lifecycle history.

Cross-Architecture Boundaries

VCS ↔ VSS

VSS determines the governed Value State.

VCS determines material change relative to a governed reference state.

Therefore:

State ≠ Change

and

Change ≠ New State Determination.

VCS ↔ ORA™

ORA™ may govern the Operational Reality in which an event, condition, capability, or outcome occurs.

VCS governs what happened to value in relation to that reality.

VCS ↔ OBIDENITY®

OBIDENITY® may govern identity, ownership, provenance, authority, or continuity of the underlying object.

VCS governs the Value Change associated with the governed value.

Ownership Change ≠ Automatically Value Change.

VCS ↔ VALIDOS®

VALIDOS® may validate claims, evidence, methods, or determinations used to support a Value Change assessment.

VCS does not replace validation governance.

VCS ↔ INTEGROS®

INTEGROS® may govern integrity properties of the records, evidence, processes, and states used by VCS.

VCS governs the meaning of Value Change.

VCS ↔ ADIT®

ADIT® may audit whether a Value Change determination is reconstructable, supported, preserved, and traceable.

VCS does not conduct the audit.

VCS ↔ AGA™

AGA™ may govern who is responsible or accountable for actions, decisions, and determinations associated with Value Change.

VCS governs the Value Change itself.

Governance Outputs

VCS may generate:

Value Change Candidate Value Change Identification Value Change Type Value Change Direction Value Change
Magnitude Value Change Materiality Determination Value Change Temporal Classification Value Change Persistence
Classification Value Change Reversibility Classification Value Change Causation Link Value Change Causation Status
Value Change Uncertainty Record Value Change Record Value Change Lineage Governed Value Change

These outputs establish a governed representation of what materially happened to value.

Enterprise Application

VCS allows organizations to move beyond static valuation snapshots.

Instead of observing only:

Value at T1

and later:

Value at T2

an organization can govern the difference between them:

What changed?

How much did it change?

In what direction?

Was the change material?

Was it temporary or persistent?

Was it reversible?

Which beneficiary and context were affected?

What event or condition may have caused it?

How certain is that causal relationship?

This makes VCS applicable across:

banking; insurance; accounting interfaces; investment; industrial assets; infrastructure; energy; digital assets; blockchain; intellectual property; public assets; natural resources;

AI systems; computational resources; mission systems; organizational capability.

The same architecture can therefore govern Value Change across fundamentally different value-bearing objects without requiring all value to be reduced to one universal monetary measure.

Foundational Principles

Value State is not Value Change.

Value difference is not automatically material Value Change.

Value Change requires a governed reference.

Value Change does not require monetary expression.

Price Change is not automatically Value Change.

Accounting Change is not automatically VFM® Value Change.

Transaction is not Value Change.

Ownership Change is not automatically Value Change.

Cause of Change is not Value Change.

Correlation is not causation.

Material Value Change may exist even when its complete cause remains unknown.

Multiple causes may legitimately contribute to one Value Change.

Value Change may be beneficiary-specific and context-specific.

Minor changes may accumulate into material Value Change.

Value may degrade toward ZVA™ and may later recover from ZVA™ where new conditions create legitimate value.

VFM® governs what happened to value without claiming governance over every mechanism capable of causing it.

Canonical Closing Statement

Value Change Standard establishes the change-governance layer of VFM® — Value Flow Mechanisms Architecture by determining when existing governed value has materially changed relative to an explicit reference state and by making the direction, type, magnitude, temporal character, persistence, reversibility, context, beneficiary impact, causal relationship, uncertainty, and lifecycle record of that change governable. VCS separates Value Change from Value State, price movement, transaction, ownership, accounting recognition, taxation, external events, and causal mechanisms while preserving structured interfaces through which those systems may influence or consume governed Value Change information. By supporting monetary and non-monetary value, context-specific and beneficiary-specific

change, cumulative and compound change, degradation, enhancement, impairment, recovery, and movement toward or away from ZVA™ — Zero Value Asset™, VCS provides a general mechanism for observing how value evolves across physical, digital, economic, operational, strategic, organizational, and future value systems. VFM® therefore does not merely identify what value is or what state it occupies; through VCS, it begins to govern what materially happens to value as reality changes.

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Value Change Standard (VCS)

Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory: Value Lifecycle Governance Canonical Definition: Value Change Standard governs the identification, characterization, magnitude determination, causation linkage, and recording of material change affecting existing governed value, establishing what happened to value without assuming governance over the external mechanism that caused the change. Governed Space: Value Change Governance Flow Position: Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change Existing value becomes a governed Value Change only when a material difference can be established against an explicit governed reference state. → View Standard

About standard

Module Architecture

→ [Value Change Identification Module \(VCIM\)](#)

→ [Value Change Type Module \(VCTM\)](#)

→ [Value Change Magnitude Module \(VCMM\)](#)

→ [Value Change Causation Link Module \(VCCM\)](#)

→ [Value Change Record Module \(VCRM\)](#)

Related Documents

→ [About Value Change Standard \(VCS\)](#)

→ [VFM® — Value Flow Mechanisms Architecture](#)

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